more suitable as an investment medium for those desiring long-range growth than as a vehicle for in-and-out trading.

All this has profoundly changed the market place. It undoubtedly represents tremendous improvement—improvement, however, at the expense of marketability. The liquidity of the average stock has decreased rather than increased. In spite of breathtaking economic growth and a seemingly endless procession of stock splits, the volume of trading on the New York Stock Exchange has declined. For the smaller exchanges it has almost vanished. The gambler, the in-and-out buyer, and even the “sucker” trying to outguess the pool manipulator were not conducive to a healthy economy. They did, however, help provide a ready market.

I do not want to get involved in semantics. Nevertheless, it must be realized that this has resulted in the gradual decline of the “stock broker” and the rise of what might be called the “stock salesman.” So far as stocks are concerned, the broker works in an auction market. He takes an order from someone who has already decided on his investment course. He matches this order with an order he or some other broker has received to sell. This process is not overly time-consuming. If the orders received are for a large rather than small number of shares, the broker can operate on a very small commission for each share handled and still end the year with a handsome profit.

Contrast him with the salesman, who must go through the far more time-consuming routine of persuading the customer on the course of action to be taken. There are only a given number of hours in the day. Therefore, to make a profit commensurate with that of a broker, he must charge a higher commission for his services. This is particularly true if the salesman is serving a large number of small customers rather than a few big ones. Under todays economic conditions, small customers are the ones most salesmen must serve.

The stock exchanges are still primarily operating as a vehicle for stock brokers rather than stock salesmen. Their commission rates have gone up. They have only gone up, however, about in proportion to that of most other types of services. In contrast, the over-the-counter mar-kets work on a quite different principle. Each day, designated members of the National Association of Securities Dealers furnish the newspapers of that region with